Copperline Manufacturing

Finance Department, Accounts Payable

Vendor Payment Terms

Current version. Issued by Accounts Payable to all departments and to every new vendor.

Standard payment terms

Copperline's standard payment terms are net 45. A vendor invoice is paid 45 days after Accounts Payable receives a correct invoice, not 45 days after the date printed on the invoice. An invoice is correct when it shows a valid Copperline purchase order number, matches the goods or services received, and matches the prices on the purchase order.

Early payment discounts

When a vendor offers a discount for paying early, such as 2 percent off for payment within 10 days, Accounts Payable takes the discount whenever the invoice is correct and approved in time. Departments do not need to request this. A discount offer must appear on the invoice or in the vendor's contract to be used.

Payment schedule

Accounts Payable makes payments twice a week, on Tuesdays and Thursdays. An invoice that becomes due on any other day is paid on the next Tuesday or Thursday. Payments are made by electronic bank transfer. Paper checks are issued only for vendors that cannot receive electronic payments.

Setting up a new vendor

Before Copperline pays a vendor for the first time, Accounts Payable sets the vendor up in the vendor master record. The vendor must provide a completed W-9 tax form and its bank account details on company letterhead. Accounts Payable then calls the vendor at a phone number found independently, such as on the vendor's public website, to confirm the bank details before the first payment. Setup takes about five business days.

Requests to change a vendor's bank details

Never act on a request to change a vendor's bank account details that arrives by email, even when the email appears to come from a contact you know. Requests like this are a common form of fraud. Do not reply to the email and do not use any phone number or link in it. Forward the request to the Accounts Payable Supervisor. Accounts Payable will call the vendor at the phone number already on file in the vendor master record to confirm the request. A bank change takes effect only after that call and a second review by another Accounts Payable team member.

Disputed invoices

If an invoice is wrong, tell Accounts Payable within 5 business days of receiving it. Accounts Payable holds the disputed amount and pays any undisputed part on the normal schedule. The 45-day payment period for the disputed amount starts again when a corrected invoice is received.

Vendor questions about payments

Vendors can ask about the status of a payment by emailing Accounts Payable with the invoice number and purchase order number. Employees should refer vendor payment questions to Accounts Payable rather than promising a payment date themselves.